

BANK LOAN PORTFOLIO REPORT · CONSUMER LENDING DIVISION · FY2021

A year of lending, in one report

38,576 loan applications, \$435.8M disbursed, and what the numbers say about where the risk actually sits.

Reporting period	Loans analysed	Report generated	Prepared as
Jan 1 – Dec 12, 2021	38,576	20 Sep 2026	Business analyst review

01 — EXECUTIVE SUMMARY

Portfolio at a glance

Core lending KPIs for the full year, with December shown against November to gauge month-over-month momentum.

Total applications	Total funded amount	Total amount received	Avg. interest rate	Avg. debt-to-income
38,576	\$435.76M	\$473.07M	12.05%	13.33%
+6.9% MoM	+13.0% MoM	+15.8% MoM	+3.5% MoM	+2.7% MoM

02 — PORTFOLIO QUALITY

Good loans vs. bad loans

“Good” covers loans marked Fully Paid or Current; “Bad” is anything Charged Off. This split is the single clearest signal of portfolio health.

86.2% GOOD	13.8% BAD
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■ Good loans — Fully Paid + Current	
Applications	33,243
Funded amount	\$370.22M
Amount received	\$435.79M
Received vs. funded	+17.7%

■ Bad loans — Charged Off	
Applications	5,333
Funded amount	\$65.53M
Amount received	\$37.28M
Received vs. funded	-43.1%

03 — BUSINESS IMPACT

What the portfolio actually earned — and lost

Reading the loan book as a P&L rather than a set of dashboard tiles.

NET RESULT

\$37.31M

Net portfolio yield of 8.56% — every dollar funded returned \$1.086 across the book.

COST OF DEFAULTS

\$28.25M

Lost to Charged Off loans after recovery. Recovery rate on defaulted principal was 56.9% — banks typically underwrite to 40–60%, so this sits at the healthy edge of that range.

SEGMENT FLAG

25.6%

Small-business loans default at 25.6%, ~1.85× the portfolio average, and it's the only purpose category where receipts (\$23.81M) fell short of principal disbursed (\$24.12M) — a raw shortfall before interest is even counted.

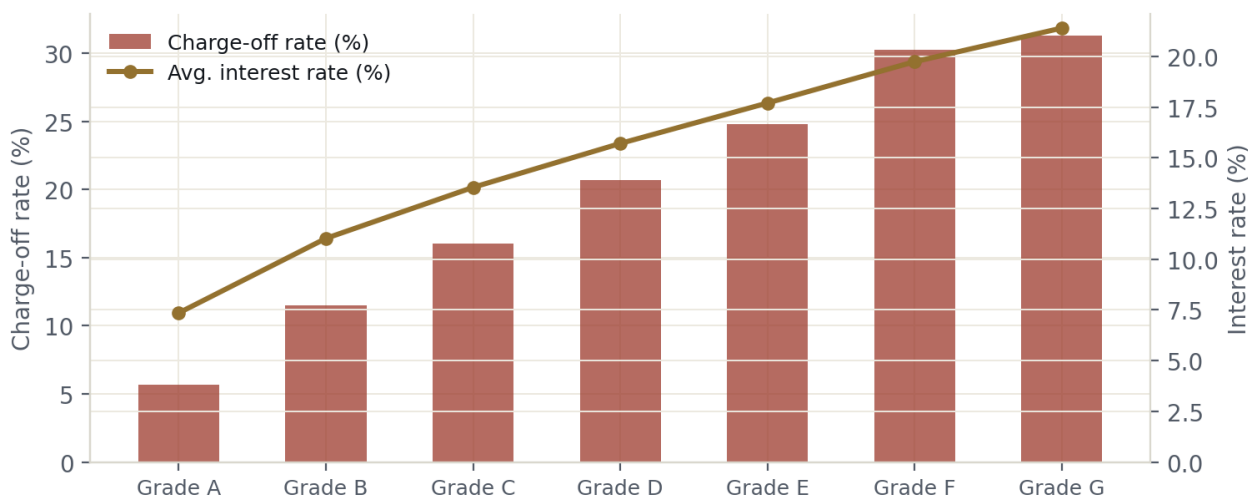
CONCENTRATION

46.7%

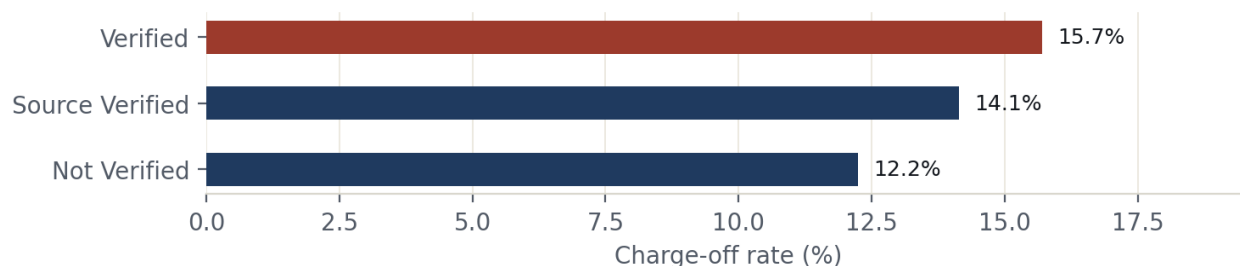
Share of all funded capital sitting in just 5 states (CA, NY, TX, FL, NJ) out of 50. California alone is 18.0% of the book.

Risk-based pricing is working

Interest rate climbs almost in lockstep with default rate across grades A through G — the underwriting model is pricing risk correctly at the portfolio level, even where individual segments are mispriced.

**Verification status doesn't predict lower risk**

Counter-intuitively, borrowers whose income was formally verified defaulted more often than those who weren't verified at all — the reverse of what the field is meant to signal.



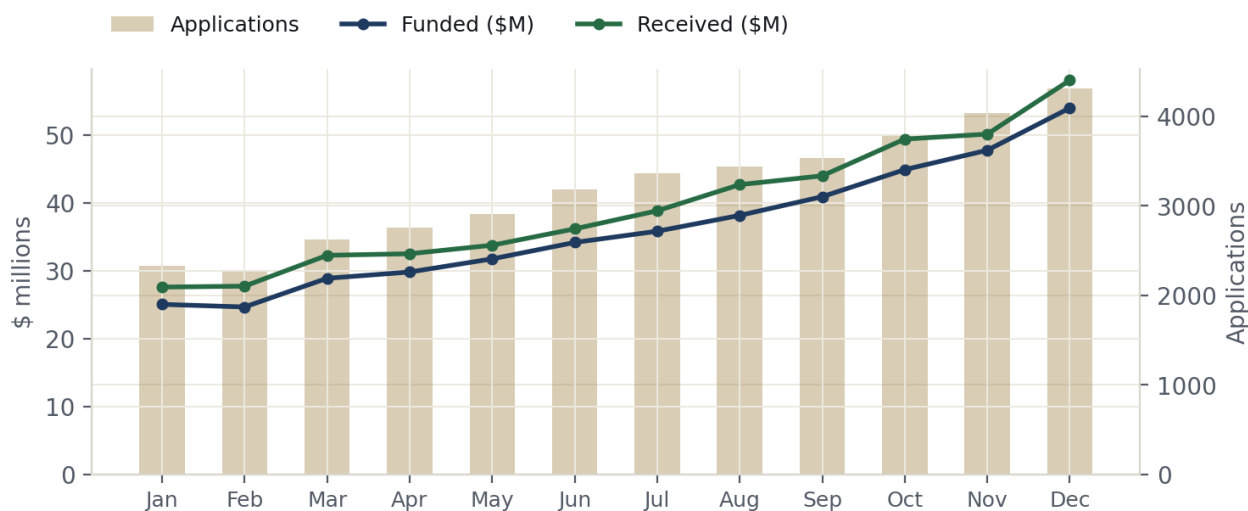
04 — PORTFOLIO BREAKDOWN

Where the lending happened

Applications, funding and repayment cut by time, geography, loan structure and borrower profile.

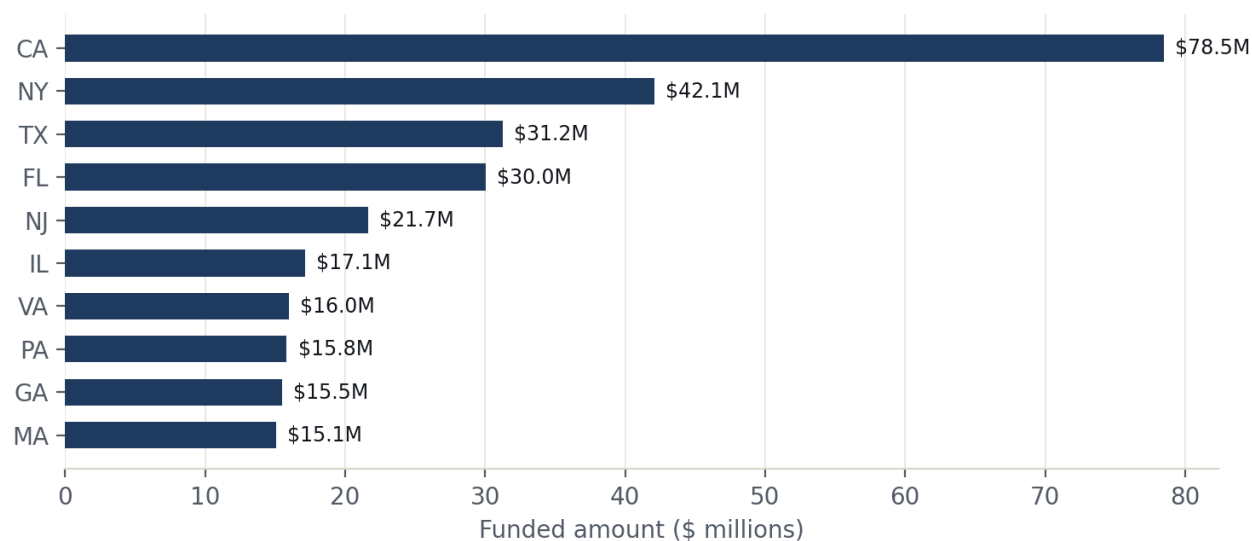
Monthly trend by issue date

Applications (bars, right axis) against funded & received dollars (lines, left axis, \$M)



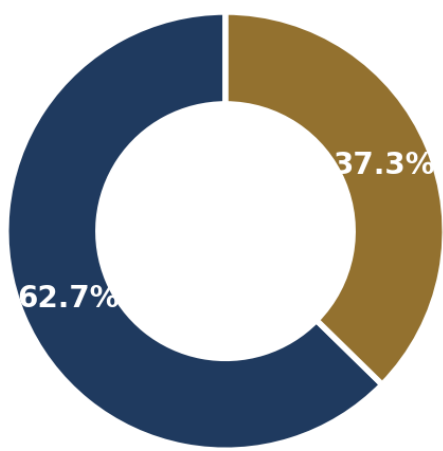
Top 10 states by funded amount

The five largest states account for 46.7% of every dollar lent.



Loan term split

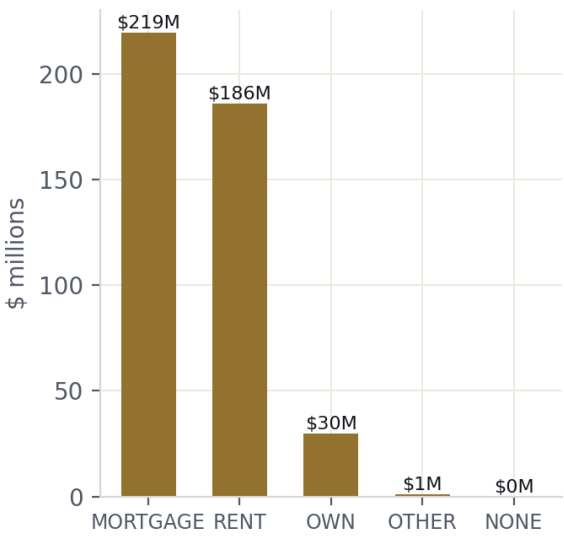
Funded amount by term length



36 months — \$273.0M
60 months — \$162.7M

Home ownership

Funded amount by housing status



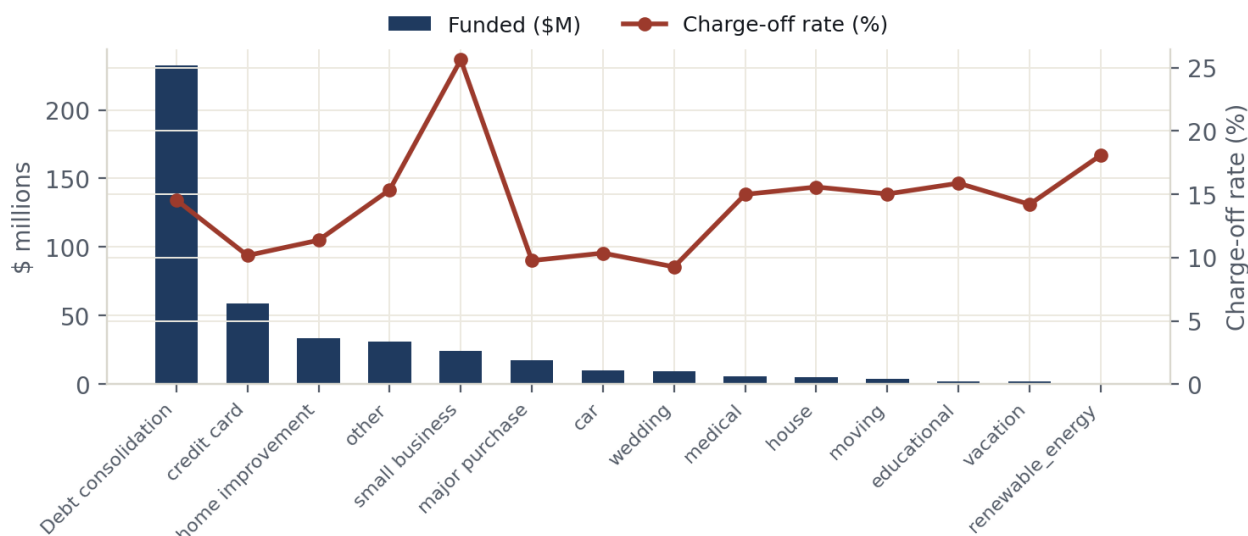
Employment length

Funded amount by years in current job



Loan purpose: size vs. risk

Bars = funded amount, \$M (left axis) · Line = charge-off rate, % (right axis)



05 — LOAN STATUS GRID

Status-level detail

Every loan in the book, grouped by current status.

Loan status	Count	Total funded	Total received	Avg. interest rate	Avg. DTI
● Charged Off	5,333	\$65.53M	\$37.28M	13.88%	14.00%
● Current	1,098	\$18.87M	\$24.20M	15.10%	14.72%
● Fully Paid	32,145	\$351.36M	\$411.59M	11.64%	13.17%

06 — RECOMMENDATIONS

What I'd action from this

1 Re-price or restrict small-business lending

At 25.6% charge-off — nearly double the 13.8% portfolio average — this is the one purpose category losing money on principal alone. Tighten underwriting criteria or move pricing up a grade band before growing this segment further.

2 Audit the income-verification process

"Verified" borrowers default more often than unverified ones (15.7% vs 12.2%). That's either a sign the verification step isn't catching what it should, or that verification is being triggered by risk signals already present in an application — worth a root-cause check either way.

3 Watch geographic concentration

46.7% of funded capital sits in 5 states. A regional downturn in California specifically — 18.0% of the book on its own — would move the whole portfolio's numbers.

4 Keep the grade-based pricing model in place

Default rate rises from 5.7% at Grade A to 31.3% at Grade G, tracking the interest-rate curve closely. That's the underwriting model working as intended, and it's the reason the book nets a positive 8.56% yield despite \$28.25M in default losses.

5 Momentum is positive going into next year

December applications, funding and collections are all up double digits month-over-month (funding +13.0%, receipts +15.8%), and receipts are growing faster than fundings — a healthy short-term liquidity signal to carry into planning.

Methodology. MTD figures use December 2021 issue dates; PMTD (prior month) uses November 2021, matching the source query set. "Good loan" = Fully Paid or Current; "Bad loan" = Charged Off. Net yield = (total received – total funded) ÷ total funded. Recovery rate = total received ÷ total funded, computed on Charged Off loans only. All dollar figures are nominal, undiscounted.

Source data: 38,576-row loan-level extract (Jan–Dec 2021), 24 fields per record, covering application, borrower, and repayment attributes. Built as a business-analyst read of a standard bank-loan reporting dataset.